SENTINEL BANK - CORPORATE RISK

Department: Corporate_Banking

Subject: Letter of Credit (LC) Limits for MSMEs

Directive: To manage unsecured risk in the corporate sector, we are enforcing strict limits on trade finance instruments for Micro, Small, and Medium Enterprises (MSMEs).

Rule: The maximum limit for issuing an unsecured Letter of Credit (LC) to an MSME client is strictly capped at ₹50 Lakhs. Any LC exceeding this amount requires 100% cash collateral or sovereign bank guarantees.